ContexAi GROUP | Economic Vibes — Morning Brief

Monday, 2 November 2026
Daily Brief · Midterms-Eve Edition
compiled ~21:00 PKT · PSX Mon close / US Fri close

ContexAi Research Desk · Sourced via Business Recorder, ARY News, Mettis, Kitco, Rio Times, Tech Insider and Trading Economics · For the C-Suite & HNW Investor · **V** = verified vs licensed media/official portal · **EST.** = ContexAi desk estimate · **PSX and PKR figures are the Monday 2 Nov close; US index figures are the Friday 30 Oct close**

KSE-100 V	S&P 500 V	US 10Y / 2Y V	BRENT / WTI EST.	GOLD / SILVER V	USD/PKR V
166,564.06	7,580.07	4.98% / 4.59%	~$108.6 / ~$99.6	~$3,946 / ~$50.94	276.72
▲ 0.09% (+154.81) Mon close · breadth 137 up / 319 down	▼ 1.82% Fri · Dow ▼ 1.09% · Nasdaq ▼ 2.86% (25,437)	Fri · 10Y ~4.92% Mon, a 7-week low (CNBC via Hawksmoor)	Mon intraday ▼ ~4% · Fri settles not published	Mon early US spot ▲ 1.8% / ▲ 3.7% after Friday's −3.3% / −5.5%	interbank Mon close (276.75 Fri) · SBP 12.0% · 6M KIBOR 12.43/12.68

01 Five Things You Need To Know To Start Your Day

PSX FLAT ON THIN BREADTH The KSE-100 closed at **166,564.06 (+154.81, +0.09%)** after a 165,585–166,990 range; 137 stocks rose and 319 fell, with volume 443m shares (Rs17.7bn), down from 825m. Banks and cement led; profit-taking capped gains. Business Recorder · ARY News · V

OCTOBER CPI EASES TO 9.6% PBS reported October CPI at **9.6% y/y (10.3% in September)**, +1.1% m/m; four-month average 10.1%. The SBP hiked 50bp to 12.0% on 26 Oct, and 6M KIBOR is 12.43%/12.68%. Mettis · Mettis · V

INTEL DRAGS NASDAQ 2.9% Friday: **S&P 500 7,580.07 (−1.82%), Dow 51,770.31 (−1.09%), Nasdaq 25,437 (−2.86%)**; Intel fell ~28.6% on weak guidance and SOXX lost 9.1%. Futures rebounded ~0.5–0.9% Monday. Tech Insider · Rio Times · 24/7 Wall St · V

OIL SLIDES ON IRAN–QATAR TALKS Brent fell toward **~$108.6** and WTI below **$100** (−4% intraday) as Qatar-mediated talks continued; OPEC+ held targets through December. Ship attacks near Hormuz persist. Kitco · Hawksmoor · HDFC Sky · EST. (intraday)

METALS REBOUND, FED IN FOCUS Spot gold ~**$3,946** (+1.8%) and silver ~**$50.94** (+3.7%) after Friday's slump; December hike odds ~70–75%, ISM today, midterms Tuesday and payrolls Friday. Kitco · Rio Times · V

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

A quiet, cautious session after a 2.5% weekly rebound. The KSE-100 closed Monday at **166,564.06** (+154.81, +0.09%; previous close 166,409.25), trading between 165,585.42 and 166,989.76. Regular-market volume was 443.4m shares worth Rs17.73bn (825m and Rs23.12bn prior); 137 advanced, 319 declined and 40 were unchanged of 496 traded (Business Recorder, ARY News) **[V]**. Business Recorder's Topline notes buying in select heavyweight commercial banks and cement, with profit-taking capping gains, as investors weighed domestic inflation against easing crude; sector point-contributions were not published. The index had gained 2.5% (+4,034 pts) in the week to 30 Oct, snapping a five-week losing streak, after shedding 3,560 points in October (Business Recorder, Dawn) **[V]**. **Macro:** October CPI eased to **9.6% y/y** (10.3% prior; +1.1% m/m), the 4MFY27 average is 10.1% (Mettis); the SBP raised its policy rate 50bp to **12.0%** on 26 Oct (Mettis); 6M KIBOR rose 2bp to 12.43%/12.68% and the 28 Oct T-bill cut-offs were 12.11% (1M), 12.43% (3M), 12.65% (6M) and 12.89% (12M) (Mettis) **[V]**. **FX:** USD/PKR closed **276.72** interbank (276.75 prior); open market 277.30/280.00 (Mettis) **[V]**. **IMF:** a staff-level agreement was reached (cited in the 26 Oct MPC statement); Board date and tranche size were not confirmed in sources read **[EST.]**. FBR missed its four-month target by Rs96bn (Dawn) **[V]**.

- **PSX: KSE-100 index closes marginally higher as late buying offsets intra-day losses** — Business Recorder.
- **October inflation falls to 9.6%** — Mettis.

B. GCC & Middle East

Saudi GDP still contracting, OPEC+ on hold, Hormuz risk on the tape. Tadawul's TASI was quoted at **9,882.85** on 2 Nov, up about 0.45% from 9,838.28 (down ~5.9% in the month, ~13.9% y/y) (Trading Economics) **[EST., single source with conflicting daily-change fields]**. Saudi Q3 preliminary GDP contracted **3.8% y/y** (−4.7% in Q2; +1.3% q/q), with oil activities −20.4% and non-oil +1.9% (Trading Economics / GASTAT) **[V]**. OPEC+ agreed over the weekend to keep production targets unchanged through December (Trading Economics) **[V]**. Brent slid toward ~$108.6 as Iranian and Qatari officials held a third day of talks; Iran says it could reopen Hormuz within two days if the US eases its blockade, which Washington has not accepted, and three ships were reportedly hit in 72 hours (Kitco, Hawksmoor) **[EST.]**. The latest Saudi non-oil PMI (September) was 55.3 (Trading Economics); October's is due ~3 Nov. DFM/ADX closes and any PIF mandate dated this week were not found.

- **Saudi Arabia Q3 GDP contracts 3.8% y/y** — Trading Economics / GASTAT.
- **OPEC+ keeps output targets unchanged through December** — Trading Economics.

C. Global Intelligence

Friday's tech rout sets up a volatile midterms week. Friday closes: **S&P 500 7,580.07 (−1.82%), Dow 51,770.31 (−1.09%), Nasdaq 25,437 (−2.86%)**, the Nasdaq's lowest close in at least three months; for the week the S&P fell 0.58%, Nasdaq 2.0% and Dow 0.85% (Tech Insider, Rio Times) **[V]**. Intel fell ~28.6% on weak Q4 guidance and SOXX dropped 9.1%; VIX closed 19.42 (24/7 Wall St, Rio Times) **[V]**. Monday: S&P futures +0.5% and Nasdaq-100 futures +0.9% early; ISM manufacturing (consensus 54.7) at 10:00 ET, Apple and Palantir after the close **[EST.]**. **Rates:** 10Y closed 4.98% and slipped to ~4.92% Monday; 2Y 4.59%; DXY 101.88. **Fed:** held 3.75–4.00% on 28 Oct (10-2, Cook and Hammack dissenting for a hike); December hike odds ~70–75% (Polymarket 69.5%, CME ~72%) (Rio Times, Kitco) **[V/EST.]**. **Calendar:** US midterms Tuesday 3 Nov, Treasury refunding Wednesday, October payrolls Friday (consensus ~55k). **Metals:** Friday gold $3,875 (−3.3%) and silver $49.07 (−5.5%), rebounding Monday to ~$3,946 / ~$50.94 (Kitco) **[V]**. A 247wallst piece says the Fed hiked in September while Rio Times and Kitco describe October as a hold; the desk follows the latter.

- **Global Economy Briefing, 2 November 2026** — Rio Times.
- **Gold, silver rebound as Iran diplomacy sends oil lower** — Kitco.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	New petrol pricing formula: **refineries share a Rs15bn burden**, delivering a Rs15 petrol cut, with **about Rs49/litre deposited into a levy account**.	Refiners, OMCs, motorists, government revenue	**Wins: motorists and inflation-sensitive consumers [EST.]. Loses: refiners, whose motor-spirit margins could turn negative [EST.]. Net:** supports the disinflation trend but strains refinery cash flow **[EST.]**.
GCC	**UAE Cabinet Decision 174/2026** (traffic regulation, effective 1 Jan 2027) caps individual residents at five registered vehicles, with a fee beyond two.	Auto dealers, leasing, fleet owners	**Wins: licensed-fleet and leasing models [EST.]. Loses: individuals holding many vehicles [EST.]. Net:** minor demand drag for multi-car owners; the fee amount is unspecified **[EST.]**.
Global — US	FOMC **held at 3.75–4.00% on 28 October, 10-2 with two hike dissents**; December hike odds ~70–75% ahead of midterms and payrolls.	Rates-sensitive equities, gold, EM importers	**Wins: USD cash and short-duration holders [EST.]. Loses: long-duration tech, gold and EM oil importers incl. Pakistan [EST.]. Net:** falling oil is a partial offset for Pakistan's external position **[EST.]**.

04 The Day Ahead — KSE-100 Levels & Desk Stance (Tuesday 3 November)

SUPPORT EST.	PIVOT EST.	RESISTANCE EST.
165,770	**166,380**	**167,174**
S1; then 164,975 (S2)	classic pivot off Monday's high 166,990, low 165,585 and close 166,564	R1; then 167,784 (R2)

Desk stance — Neutral-to-cautious around 166,380; buy dips only near 165,770. The index closed just above the pivot on a 137-to-319 breadth skew and falling volume, so the rebound lacks conviction; a close above R1 (167,174) reopens 167,784, while a slide under 166,380 returns focus to 165,770 and a break there targets 164,975. **Drivers.** (1) US midterms on Tuesday and a volatile tech tape after Intel and Friday's Nasdaq drop. (2) Brent near $108 and Iran–Qatar/Hormuz headlines. (3) October CPI at 9.6% against the SBP's 12.0% rate, with real rates positive. (4) Petrol price cut and refinery-margin fallout. **Positioning.** Prefer banks and cement on pullbacks; trim refiners until the levy formula is clear; keep cash buffers for oil and US-rate event risk **[EST.]. Mood: Cautious.**

Run note: compiled ~21:00 PKT Monday (scheduled morning slot missed), so PSX and PKR are Monday closes while the US cash session was still open; US index figures are Friday's close. Levels use Monday's published high, low and close. Not verified: Friday Brent/WTI settles (Monday figures are intraday), KSE-100 sector points, DFM/ADX closes, UAE PMI, PIF news, IMF Board date and a dated Global regulatory action. TASI is a single-source quote with conflicting daily-change fields.

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